

**Before the
FEDERAL MARITIME COMMISSION**

DOCKET NO. 22-21

MSRF, INC. v. YANG MING MARINE TRANSPORT CORPORATION

RESPONDENT'S REPLY TO COMPLAINANT'S PROPOSED FINDINGS OF FACT

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Respondent Yang Ming Marine Transport Corporation (“Respondent” or “Yang Ming”), pursuant to the Initial Order of August 22, 2022, the Presiding Officer’s Order of October 13, 2022, and Commission Rule 214 (46 C.F.R. § 502.214), hereby responds to the Proposed Findings of Fact (“CPFF”) filed by Complainant MSRF, Inc. (“Complainant” or “MSRF”) on April 21, 2023, and states as follows:

GENERAL RESPONSE

As a general matter, many, if not most, of MSRF’s proposed findings of fact are not supported by reference to anything that qualifies as evidence. In multiple cases, MSRF refers to nothing beyond the allegations in its Verified Complaint, but it is well established that pleadings are not evidence. See, e.g., *Shreve v. Franklin County, Ohio*, 743 F.3d 126, 131(6th Cir 2014); *Dowell v. Bernhardt*, 2020 U.S. Dist. LEXIS 221890,19 (M.D. Tenn. 2021) (collecting cases) ([i]t is well settled that pleadings are not evidence”). Because Respondent in its Verified Answer admitted some of these proposed facts, it will accept those admitted allegations, albeit sometimes with proposed modifications for accuracy.

RESPONSES TO COMPLAINANT’S PROPOSED FINDINGS OF FACT

CPFF1. Complainant MSRF is a corporation organized under the laws of the State of Delaware with its principal place of business located at 9815 Leland Avenue, Schiller Park, Illinois 60176. V. Compl.¹ ¶ 12 attached hereto as **Exhibit A [MSRF has marked its Verified Complaint as Exhibit A]**.

RESPONSE: Although not supported by any reference to evidence (see response above), Respondent does not wish to clutter the record with objections to trivia, and so it accepts this proposed fact.

CPFF2. MSRF is a “shipper” under its written service contract agreement with Yang Ming Maritime Transport Corporation (“Yang Ming”) pursuant to 46 U.S.C. 40102(23). V. Compl. ¶ 12.

RESPONSE: Although not supported by any reference to evidence, Respondent accepts this proposed fact, but proposes that it be made more accurate by replacing “under” with “with respect to” and “pursuant to” with “as defined in.”

CPFF3. Respondent Yang Ming is a company organized under the laws of Taiwan. Respondent is a vessel-operating ocean common carrier as that term is defined by 46 U.S.C. § 40102(18) with organization number 000138. V. Compl. ¶ 13. Yang Ming was MSRF’s carrier for freight at all relevant times. V. Compl. ¶ 13.

¹ “V. Compl. ¶ _” refers to MSRF’s Verified Complaint against Respondent dated August 19, 2022.

RESPONSE: Although not supported by any reference to evidence, Respondent accepts the proposed fact stated in the first and second sentences. The proposed fact in the third sentence is not only unsupported by evidence, but also wrong. The term “carrier for freight” is nowhere defined. More importantly, Yang Ming was, by MSRF’s own admission, not the only carrier that transported MSRF cargo during the period May 1, 2021 to April 30, 2022. During this period, MSRF had service contracts with at least two other ocean common carriers in addition to Respondent. RX_000134-RX_000153. MSRF may also have been party to non-vessel-operating common carrier service arrangements (“NSAs”) or NVOCC rate arrangements (“NRAs”) with NVOCCs and appears to have used numerous other “carriers for freight” in the U.S.-foreign trades. Complainant’s Exhibit E, CX_00159-CX_00164. Respondent would accept the statement if it were rewritten as “Yang Ming was a carrier (but not the only carrier) of MSRF cargo during the period May 1, 2021 to April 30, 2022.”

CPFF4. On May 1, 2021, MSRF entered into a one-year service contract agreement (SC 494721) (the “Agreement”) with Yang Ming. Group Exhibit A to Declaration of David Reich, ¶ 4 attached to the Appendix as **Exhibit 1**.

RESPONSE: This proposed fact is incorrect as written. SC 494721 was signed by the Parties and filed with the Federal Maritime Commission on April 18, 2021. May 1, 2021 was the date when SC 494721 became effective. CX_0006; RX_000002-RX_000024. We further note that use of the term “agreement” is confusing, as the contract was a service contract as defined at 46 U.S.C. 40102(21) and 46 C.F.R. Part 530, not an agreement as defined 46 U.S.C. 40102(1) and 46 CFR Part 535. It was also referred to in the Complaint as “Service Contract”

(and properly so). Accordingly, the term “agreement” should be replaced with “Service Contract” wherever it appears in the CPFFs.

CPFF5. The duration of the Agreement was from May 1, 2021 until April 30, 2022. YM000394.

RESPONSE: Other than the use of the term “Agreement” instead of Service Contract,” as explained in Respondent’s response to CPFF4, Respondent accepts CPFF5.

CPFF6. The Agreement required Yang Ming to transport via ocean vessels one hundred (100) twenty-foot equivalent unit (“TEU”) of MSRF’s containers—referred to in the Agreement as minimum quantity commitments (“MQC”)—from various ports in Asia into specific ports in the United States. Declaration of David Reich, ¶ 8.

RESPONSE: Even apart from the objection to “Agreement,” this proposed finding of fact is plainly untrue. The Service Contract requires MSRF to tender a minimum quantity commitment (“MQC”) to Yang Ming during the term of the Service Contract and in turn required Yang Ming to provide space to carry that MQC, subject to conditions specified in the Service Contract, such as appropriate notice, shipper tender, and the absence of factors beyond Yang Ming’s control. In the original, unamended contract filed with the Commission on April 18, 2021, the MQC that MSRF was required to tender and Yang Ming to accommodate was 100 TEUs. CX_0006. But the Service Contract was amended multiple times, by express, mutual agreement of the Parties, including by Amendment 7 (dated April 18, 2022), which reduced the MQC to 10 TEUs. Thus, the correct fact is that Respondent was obligated to provide space only for 10 TEUs before the Service Contract expired on April 30,

2022, and that obligation was subject to certain conditions, such as tender, notice, and the absence of factors beyond Respondent's control. CX_0006 (TPWB); RX_000013 (TPEB). The proposed fact posited by Complainant is also wrong when it asserts that the obligation of carriage was "from various ports in Asia into specific ports in the United States." Quite to the contrary, the Service Contract provides for transportation both from Asia to the United States and from the United States to Asia, which direction was in fact used by MSRF for several of its shipments.² CX_0006. Further, and as admitted by MSRF, although it specified the rates that would be applicable between two specific port pairs (see, e.g. CX_0014) nothing in SC 494721 required Yang Ming to carry any specific amount of cargo between any two specific port pairs. RX_000144. Finally, the reference to "MSRF's containers" is confusing at best, misleading at worst. The containers used for the transportation were all controlled by Yang Ming; none of them belonged to or were provided by MSRF.

CPFF7. The Agreement also identified the prices to be charged for various routes, including the prices for the TEUs. Declaration of David Reich, ¶ 9.

RESPONSE: This proposed fact is also misleading, even apart from the awkward reference to "Agreement." The Service Contract spelled out basic freight rates for carriage of specific cargo between specific port pairs in specific sizes of container (TEU, FEU, High Cubes, etc.). SC 494721 also specified that certain surcharges and other provisions in Yang Ming's tariff publication would apply to the Service Contract. Finally, we have no clue what the term "the TEUs" is intended to mean in the context of CPFF7, and such term is not used in the Service Contract.

² The Affidavit of Mr. Reich is thus untrue with respect to this matter.

CPFF8. The Agreement was amended seven times. Declaration of David Reich, ¶ 7. Many of the amendment simply added different routes to the parties' agreement. Declaration of David Reich, ¶ 7.

RESPONSE: Yang Ming accepts the proposed fact set out in the first sentence. As to the second sentence, the proposed fact is too vague to accept or even understand. Some of the amendments added new ports, port pairs, or origin/destination locations, while others added new rates and one changed the MQC. Many of the amendments were added at Yang Ming's suggestion that MSRF try various alternative routings and origins for its U.S. import cargo. See, e.g., CX_0024-CX_147.

CPFF9. By April 18, 2022, two weeks before the expiration of the Agreement, Yang Ming had only moved eight TEUs on the Transpacific Eastbound lane and two TEUs on the Transpacific Westbound lane for a total of ten TEUs out of the one hundred (100) agreed upon containers. Declaration of David Reich, ¶ 9. This was reflected in Amendment seven to the Agreement to show the units moved before the Agreement expired. Declaration of David Reich, ¶ 7, YM000281-YM000295; YM000362-YM000376. However, MSRF is claiming that only 89.25 TEUs were not shipped.

RESPONSE: Yang Ming accepts in part the multiple proposed facts shoe-horned into this one item. It accepts that SC 494721 expired on April 30, 2022. But April 18, 2022 was actually 12 days, not two weeks, before the expiration of the Service Contract. Respondent denies the proposed fact that, between May 1, 2021 and April 30, 2022, Yang Ming carried 8 TEUs in the Transpacific Eastbound (TPEB) lane (i.e., U.S. exports) and 2 TEUs in the

Transpacific Westbound (TPWB) lane (i.e. U.S. imports). In fact, Yang Ming carried during that period: (a) 6 TEUs of MSRF's cargo in the Transpacific Eastbound (TPEB) lane (i.e., U.S. exports) and (b) 11 TEUs of MSRF's cargo in the Transpacific Westbound (TPWB) lane (i.e. U.S. imports). Exhibit A to the Goeke Declaration (lifting reports). Respondent also denies that Amendment 7 showed the "units" moved before SC 494721 expired. Rather, Amendment 7 indicated the minimum quantity commitment MSRF was required to tender to Yang Ming during the term of the contract. CX_1034 (Amendment No. 7, TPWB); RX_000013 (Amendment No. 7, TPEB).

CPFF10. MSRF suffered damages because Yang Ming did not fulfill its obligations under the service contract, including its failure to move 89.25 TEU's within May 1, 2021 to April 30, 2022. Declaration of David Reich, ¶ 16.

RESPONSE: This proposed fact is wrong on multiple levels. First, it is a conclusion, not a fact, unsupported by actual evidence. Second, Yang Ming did meet, and indeed exceeded, its obligation to provide space for MSRF to carry the MQC, which was 10 TEUs. Third, as detailed in the Brief, MSRF has not shown either (i) that any alleged injury was proximately caused by action of Yang Ming or (ii) that it has suffered injury in any amount or any specified amount. The evidence shows that Yang Ming actually carried total of 17 TEUs of cargo tendered by MSRF during the term May 1, 2021 to April 30, 2022. RX_0000306-RX_000308 (Exhibit A to Goeke Declaration) (lifting reports). Finally, MSRF has cited no evidence that it timely tendered more than the 17 TEUs to Yang Ming and ignores the fact that MSRF cancelled bookings of cargo that Yang Ming had agreed, and was prepared, to

carry during the term of the contract. RX_000304 (Goeke Declaration, ¶¶41); RX_000038; RX_000043; RX_000045; RX_000048 (booking cancellations).

CPFF11. MSRF suffered further damages through Yang Ming’s refusal to provide space when requested by MSRF. For example, in email correspondence between MSRF and Yang Ming from April 2021, May 2021, and June 2021 requesting bookings from the Qingdao port in China, Yang Ming refused to provide space. Declaration of David Reich, ¶ 10.

RESPONSE: This proposed fact is also wrong on multiple levels, even apart from the loaded use of the word “refused” for what was not a refusal, but rather an inability to provide space due to the unique conditions prevailing at the time. It is again a conclusion not supported by evidence. Second, as established in Respondent’s Brief and admitted by MSRF, Yang Ming was under no obligation to provide space when and where requested by MSRF. Rather, Yang Ming’s only obligation was to provide sufficient space, over the entire term of the contract, for MSRF to tender the MQC of 10 TEUs, which it not only did, but also exceeded by 70%. As to the email correspondence cited, what it shows is that MSRF’s consignor in China sought space only at the last moment, that some of it was already booked with another carrier and that MSRF’s consignor was also communicating with yet another carrier to make bookings. Finally, Exhibits B, C, and D to the Declaration of David Reich (used to support the Declaration’s assertion that Yang Ming “refused to provide space” to MSRF in April, May, and June, 2021) are only portions of email strings; even cursory examination of the full exchanges demonstrate MSRF’s poor planning and forecasting, that MSRF’s requests were not reasonable, and that Yang Ming responded promptly to MSRF’s requests. Exhibit B shows MSRF unreasonably expected to make a booking in late April, 2021 for sailings in

May; Exhibit C is incomplete, unmarked and undated; the email exchange in Exhibit D shows a request from MSRF on June 8 for two (2) forty-foot high cube containers (40'HQ) from Ningbo to Bedford Park, IL. Nearly immediately (June 9), Yang Ming informed MSRF it could not take the booking due to limited space.

CPFF12. The total damages are \$1,883,081.67 on a total of 265.5 TEUs. These damages average \$7,092.59 per TEU. Declaration of David Reich, ¶ 15.

RESPONSE: This proposed fact is obviously wrong for many reasons. First, as before, it is simply a conclusion without any supporting evidence. The claim about 265.5 TEUs is nowhere explained. Even under Complainant's odd theory, Yang Ming's obligation was no more than 100 (actually 10) TEUs. The calculation of alleged damages by an average of shipments not tendered to Yang Ming is pure speculation and, as shown in Respondent's Brief, is flatly inconsistent with the FMC's requirements for demonstrating "actual injury" and proximate relationship to the alleged violations of the Shipping Act.

CPFF13. The damages worksheet, included as Exhibit E to the Declaration, lists each shipment of goods by MSRF on which it paid freight costs in excess of those agreed by Yang Ming in the Agreement.

RESPONSE: The problems with this proposed fact are manifold and manifest. First, the "damages" worksheet lists 265.5 TEUs of shipments, while MSRF's obligation to provide space was, even in theory, just 100 TEUs (and in reality, 10 TEUs). Second, as explained in greater detail in Respondent's Brief, the "damages" worksheet bears no explained or rational relationship to any actions taken by Yang Ming or shipments allegedly declined by

Yang Ming. Instead, it is simply a hodge podge of random shipments allegedly made by MSRF, without any demonstrated (or demonstrable) proximate relationship to any claimed violations of the Shipping Act. Third, and fatally under the Shipping Act, there is no evidence that MSRF actually paid for any of these shipments. As shown in Respondent’s Brief, the FMC has consistently required production of canceled checks or other documentary evidence not only of being billed, but also of actual payment. Fourth, Complainant’s Exhibit E includes shipments of goods alleged to be shipped by MSRF through non-U.S. ports (Canada) as well as by air, which are outside the regulatory authority of the Commission. Finally, and confusingly, in response to Yang Ming’s Supplemental Interrogatory 13 (“13. Identify any overlap between this proceeding and FMC Docket No. 22-20 with respect to shipments/attempted shipments for which reparations are sought – e.g., any proposed shipment declined by both HMM and Yang Ming included in Complainant’s Calculation of reparations in both dockets.”), MSRF stated, “There is no overlap.” RX_000153. Nevertheless, MSRF produced a “shipment worksheet” to Yang Ming which included a column entitled “Declined by” which states that several other ocean common carriers and NVOCCs also “declined to carry” the shipments. RX_000138.

CPFF14. Yang Ming provided MSRF with only 10.75 TEUs during the initial contract period. Declaration of David Reich, ¶ 16, YM000281-YM000295; YM000362-YM000376.

RESPONSE: This proposed fact is simply incorrect. On a minor note, there was no “initial contract period.” There was only one contract period, that is May 1, 2021 to April 30, 2022. More substantively, MSRF does not assert or provide evidence that it tendered 100 TEUs to Yang Ming in any trade lane covered by the Service Contract much less the narrow trade

lane from Qingdao (China) to U.S. warehouse locations, and indeed it did not. Rather, MSRF tendered only 17 TEUs to Yang Ming during the entire contract period (May 1, 2021 to April 30, 2022) and Yang Ming carried all 17 TEUs that MSRF tendered to it. RX_000306-RX_000308 (Exhibit A to Goeke Declaration) (lifting report).

CPFF15. The total damages total \$1,883,081.67 but this includes damages for 265.5 TEUs that needed to be shipped by other carriers. As the MQC was only 100 TEUs and Yang Ming only provided space for 10.75 containers, MSRF is only seeking damages for 89.25 containers. Declaration of David Reich, ¶ 16. Taking \$1,883,081.67 divided by 265.5 TEUs and multiplying that by 89.25 is \$633,013.33. Those are the damages sought by MSRF in this case. Declaration of David Reich, ¶ 16.

RESPONSE: Once more, this proposed fact is wrong on multiple levels. First, as discussed above in connection with CPFF12, the claim for damages from 265.5 TEUs is unexplained and unsupported. Second, as previously shown, the MQC was 10 TEUs, not 100 TEUs. Third, as also shown above, Yang Ming actually carried 17 TEUs of MSRF-tendered cargo, well above the MQC of 10 TEUs. Finally, as again discussed above, MSRF has not demonstrated any causal or proximate relationship between the specific cargo allegedly tendered by MSRF and declined by Yang Ming and any of the 265.5 TEUs that MSRF now alleges “needed to be shipped by other carriers” or were allegedly carried by other carriers. MSRF produced documents indicating that it was *charged* certain amounts by its Chinese consignors, as well as its customs broker, truckers, and various other service providers, to ship cargo by ocean, truck, and/or air from China to the U.S. during the period May 10, 2021 to December 3, 2021. RX_000155; RX_000156. Nothing in these documents, however, offers any basis for

claiming that these charges relate in any way to specific shipments that MSRF tendered, and Yang Ming declined to carry. Indeed, there is an obvious temporal mismatch between the two. As explained above, the Service Contract required Yang Ming to provide space for the MQC (whether 100 TEUs as MSRF claims or 10 TEUs as the Service Contract states). Under the Service Contract, MSRF had until April 30, 2022 to tender, and Yang Ming had until April 30, 2022 to carry that MQC. Thus, there could not possibly be any failure to provide space as of the period May-December 2021.

MSRF's attempt to rely on the Reich Declaration (which in turn relies on CX_0160-0180) (Revised Exhibit E)) to bridge the gap does nothing to solve these problems. On a technical level, Complainant cannot rely on an Exhibit that was submitted contrary to the Presiding Officer's Order of May 30, 2023, which specifically prohibited the revision or addition of any information. And on a substantive level, Revised Exhibit E to the Reich Declaration asserts a plain untruth. It says, in a somewhat legible portion, that the underlying documents upon which Mr. Reich relies are "actual freight charges." But that is not so. Rather, at least for the portion of the table that has headings, those underlying documents are not just ocean freight, but instead merely a collection of invoices from MSRF's customs broker and various other service providers (truckers, NVOCCs, etc.) for all sorts of services. The numbers in the summary table are also unreliable. For example, the very first line claims "Actual Freight Charges" of \$26,788.00. But that is inconsistent with the underlying invoice dated July 1, 2021, which shows a line item for "ocean freight charge C.O.D \$26,500.00." RX_000155. It appears that the additional amount was not ocean freight, but either an error made by MSRF's agent in its invoice to MSRF (which shows a line item for "ocean/air freight \$26,788.00") or some other charge assessed for something

other than freight. Finally, several line items in the summary table are for movements through Canadian ports and/or by air. Applying the standards relied upon by Federal courts under Federal Rule of Evidence 1006, the summary table is neither “accurate” nor “fair,” so cannot be used to measure alleged damages.

Finally, as detailed in Respondent’s Brief, FMC precedent does not allow reparations to be awarded based on “average” injury, but rather requires individualized demonstration of “actual injury.”

CPFF15. As a result, the damages sought by MSRF is \$ 633,013.33. Declaration of David Reich, ¶ 16.

RESPONSE: Respondent does not deny that MSRF now is asking for reparations in the amount of \$633,013.33, but denies that MSRF suffered that amount, or any amount, of injury due to any action or inaction taken by Yang Ming in violation of the Shipping Act. Nor, as noted above, do the underlying documents support the summary produced as Exhibit E to the Reich Declaration. Finally, Respondent notes that the amount of damages now claimed by MSRF is only one part of an ever-changing cavalcade of injury claims. In its Verified Complaint, MSRF asserted that it had suffered damages “in an amount already believed to exceed \$1,000,000.00” Verified Complaint ¶58. In discovery, Complainant later asserted its total damages were \$1,571,757.63. It now has for the first time in this proceeding presented a completely new calculation of “average damages”, not actual damages, and one never presented previously to Respondent.

Dated: June 14, 2023

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that on the 14th day of June, 2023, a true and correct copy of the foregoing document was served by electronic mail on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020 as follows:

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